

## 23CHCV03461 23CHCV03461

County: los-angeles

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Case Number: 23CHCV03461 Hearing Date: July 20, 2026 Dept: F47

Dept. F47

Date: 7/20/26

TRIAL DATE: 6/28/27

Case #23CHCV03461

DEMURRER &

MOTION TO STRIKE TO THE FIRST AMENDED COMPLAINT

Demurrer & Motion to Strike filed on 2/20/26.

MOVING PARTY: Defendants Restore Tactics, Inc. and James Duran

RESPONDING PARTY: Plaintiff Ruben Nunez

NOTICE: ok

Demurrer is to the 3rd as to RTI and the entire First Amended Complaint as to Duran:

1. Breach of Contract

2. Negligence

3. Fraud

4. Disgorgement Pursuant to Business &  
Professions Code 7031

5. Complaint Against Contractor's Bond

RELIEF REQUESTED IN MOTION TO STRIKE: An order  
striking portions of the First Amended Complaint  
relating to exemplary damages, punitive damages, attorney fees and expert fees.

RULING: The demurrer is moot, in part, and  
overruled, in part. The motion to strike  
is moot, in part, and otherwise granted without leave to amend.

#### SUMMARY OF FACTS & PROCEDURAL HISTORY

This action arises out of contracts for work to be  
performed on Plaintiff Ruben Nunez's (Plaintiff) home by Defendant Restore  
Tactics, Inc. (RTI). Plaintiff contends  
that the work was not properly performed.

Therefore, on 11/13/23, Plaintiff filed this action against RTI, James  
Sotelo Duran (Duran), Okalani Manu Taufahema and Henry Renteria for: (1) Breach  
of Contract, (2) Negligence, (3) Fraud and (4) Disgorgement Pursuant to  
Business & Professions Code 7031.

The complaint also contained a 5th cause of action for Complaint  
Against Contractor's Bond against  
American Contractors Indemnity Company.

On 7/1/24, after the Court's 5/31/24 ruling on RTI's  
demurrer and motion to strike as to the original complaint, Plaintiff filed the  
subject First Amended Complaint which alleges the same five causes of action as  
the original complaint. (See  
5/31/24 Minute Order).

On 2/11/25, Plaintiff filed a request for dismissal of  
the 3rd cause of action for fraud which was entered the same  
day. (See 2/11/25 Request for  
Dismissal).

On 4/3/25, RTI filed an answer to Plaintiff's Complaint.

After meet and confer efforts failed to resolve the issues RTI and Duran (collectively, Defendants) had with the First Amended Complaint, Defendants filed and served the instant demurrer and motion to strike as to the First Amended Complaint. RTI demurs to the 3rd cause of action for fraud and Duran demurs to the entire complaint as to him. Plaintiff has filed an opposition to the demurrer. Defendants have filed replies.

## ANALYSIS

### 3rd cause of action - Fraud

The demurrer by both Defendants to the 3rd cause of action for fraud is moot.

After the filing of the First Amended Complaint, the parties stipulated that Plaintiff would dismiss, without prejudice, his 3rd cause of action for fraud "in its entirety as to Ruben Nunez v. Restore Tactics, Inc., et al. filed in the Superior Court of California, County of Los Angeles, assigned as case no. 23CHCV03461." (emphasis) (See Demurrer - Coulston Decl., Ex.A p.2:21-24). Thereafter, on 2/11/25, Plaintiff dismissed the 3rd cause of action without prejudice. (See 2/11/25 Request for Dismissal). Then, on 4/3/25, RTI filed an answer to Plaintiff's complaint.

RTI's claim that it only filed an answer to Plaintiff's original complaint is confusing. Once Plaintiff filed his First Amended Complaint on 7/1/24, it superseded Plaintiff's original complaint. See *Foreman & Clark Corp.* (1971) 3 C3d 875, 884; *Lee* (1994) 27 CA4th 197, 215. Therefore, it is not clear why RTI would file an answer on 4/3/25 to a pleading that was superseded approximately 9 months earlier. Moreover, Defendants' 1/29/26 meet and confer letter seems to acknowledge that the only remaining issue after the dismissal of the 3rd cause of action would be in relation to the alter ego allegations as against Duran. (See Coulston Decl., Ex.B)

Based on the foregoing sequence of events, the only

logical conclusion is that the issues RTI had with the First Amended Complaint as to the 3rd cause of action were resolved. Further, the dismissal of the 3rd cause of action in its entirety would also resolve Duran's demurrer as to that cause of action.

#### Alter Ego Liability Against Duran

Contrary to Plaintiff's assertion in the opposition to the demurrer, the Court did not "already reject[] substantially the same argument in ruling on Defendants' prior demurrer." (See Opposition to Demurrer, p.7:5-6). Rather, the Court previously determined:

The individual defendants are not moving parties on this demurrer. (See Demurrer, p.1:11-12, p.1:1-2).

Therefore, the argument that the 1st, 2nd, 3rd and 4th causes of action fail to allege sufficient facts to support alter ego liability against the individual defendants is not properly before the Court on this demurrer which is brought solely by RTI.

(See 5/31/24 Minute Order, p.2)

As such, the Court did not rule on the merits of arguments made with regard to the alter ego allegations in the prior demurrer. Now that Duran is a moving party on the instant demurrer, the Court addresses the merits of the argument and finds that the First Amended Complaint includes sufficient allegations to put Duran on notice of the basis for the claims being alleged against him.

To plead alter ego liability, a plaintiff must allege facts showing (1) a unity of interest and ownership between the corporation and the individual, and (2) that treating the corporation as a separate entity would sanction a fraud or promote injustice.

Mesler (1985) 39 C3d 290, 300.

Alter ego liability is an equitable doctrine, and whether it applies depends on the particular facts of each case. Associated Vendors, Inc.

(1962) 210 CA2d 825, 837. Therefore, alter ego determinations are generally factual in nature and rarely appropriate for

resolution at the pleading stage. *Las*

*Palmas Associates* (1991) 235 CA3d 1220, 1249; *First Western Bank & Trust Co.* (1968) 267 CA2d 910, 915.

Here, Plaintiff has alleged that RTI was inadequately capitalized, lacked sufficient assets and insurance to satisfy foreseeable liabilities, operated as a mere shell corporation, and was dominated and controlled by Duran and the other individual defendants. (FAC ¶10). Plaintiff further alleges that Duran and the other individual defendants diverted corporate assets, manipulated corporate liabilities, used Restore Tactics as a conduit for his personal business activities, and sought to insulate himself from liability through misuse of the corporate form. *Id.*

Finally, Plaintiff alleges that recognizing the corporation as a separate entity would promote an inequitable result by allowing Duran and the other individual defendants to escape liability for the wrongful conduct alleged in the First Amended Complaint. *Id.* Plaintiff does not need to prove his allegations at the pleading stage.

#### MOTION TO STRIKE

The motion to strike seeks to strike allegations regarding and the prayers for exemplary and punitive damages, attorney fees and expert fees. Plaintiff has not filed an opposition to the motion to strike.

The allegations regarding and the prayer for punitive and exemplary damages concern the 3rd cause of action for fraud. To the extent that the allegations are not contained within 3rd cause of action which has since been dismissed, the motion is granted.

With regard to the prayer for attorney fees and expert fees, the motion is also granted as Plaintiff has failed to set forth any bases for these prayers and has not indicated that he can do so.

#### DISMISSAL OF UNSERVED DEFENDANTS

In the declarations of attorney Coulston filed with the replies, attorney Coulston states:

“The remaining unserved Defendants Okalani Manu Taufahema and Henry Renteria should be dismissed because they have not been served for nearly two and a half years since the original Complaint was filed.”

(Coulston Reply Decls. ¶18).

The argument is improperly raised for the first time in the replies on behalf of Defendants who are not moving parties.

## CONCLUSION

The demurrer as to the 3rd cause of action for fraud by both RTI and Duran is moot due to the dismissal of the 3rd cause of action on 2/11/25.

The demurrer of Duran to the entire First Amended Complaint as alleged against him is overruled.

To the extent the motion to strike was not rendered moot by the dismissal of the 3rd cause of action, it is granted without leave to amend.

To the extent that RTI did not intend its answer filed on 4/3/25 to be to the First Amended Complaint, RTI may file and serve an answer which specifically references the First Amended Complaint within 30 days.

Duran is ordered to file and serve an answer to the First Amended Complaint within 30 days.

The request to dismiss the First Amended Complaint as to unserved defendants improperly made in the reply declarations is denied.

The Court notes that in violation of CRC 3.1110(f)(4), Defendants' have failed to electronically bookmark the exhibits attached to the replies. Counsel for the parties are warned that failure to comply with this rule in the future may result in matters being continued so that papers can be refiled in compliance with the rule, papers not being considered and/or the imposition of sanctions.